DECLARATION OF
AMENDED COVENANTS, CONDITIONS AND RESTRICTIONS OF
HOMESTEAD
A RESIDENTIAL SUBDIVISION TO THE
CITY OF EDMOND, OKLAHOMA

BOOK 6847 PAGE 1215

THIS DECLARATION, made as of the 31st day of January, 1996, by Danforth Developers, L.L.C., a limited liability company, hereinafter referred to as "Declarant".

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John D. Harvey
Oklahoma County Clerk
RECORDED AND FILED

WITNESSETH

WHEREAS, Declarant is the owner of certain real estate located in the City of Edmond, Oklahoma County, State of Oklahoma, being a part of the SE/4 of Section 21, Township 14 North, Range 3 West of the Indian Meridian, Oklahoma County, Oklahoma, as more particularly described in the Plat, which property has been, or will be in the future, platted into blocks, lots, streets and easements, under the name of Homestead, including as part thereof permanent open areas, playgrounds, parks with improvements, buildings and structures erected or to be erected thereon, and other common facilities for the benefit of this particular community;

WHEREAS, Declarant expressly declares its intention to develop Homestead and all additions thereto as a single family residential development within the provisions of 60 Okla. Stat. §§ 851 through 855, inclusive, in order to insure the management, maintenance, preservation, improvement and control of commonly owned areas or any portion of or interest in them and to enforce all mutual, common or reciprocal interests in or restrictions upon all portions of such separately owned lots, parcels or areas, and to establish an entity and agency for such purpose and, in addition, to collect and disburse the assessments and charges hereinafter created.

WHEREAS, there was incorporated on the 22nd day of December, 1995, under the laws of the State of Oklahoma, as a non-profit corporation, an entity known as Homestead Property Owners Association, Inc. for the purpose of exercising the aforementioned functions.

NOW, THEREFORE, Declarant states and hereby declares that the real property described above is and shall be held, sold, conveyed and occupied subject to the conditions, covenants, restrictions, dedications, easements, charges and liens (the "Amended Covenants") hereinafter set forth, together with any additional property as may by subsequent amendment be added to and subjected to these Amended Covenants, all of which are for the purpose of enhancing and protecting the value, desirability and attractiveness of the real property. These Amended Covenants shall run with the real property and shall be binding upon, and inure to the benefit of, Declarant and its successors in title, and any and all parties having or acquiring any right, title or any part thereof, and shall inure to the benefit of each owner thereof. All of the areas in Homestead, and all additions thereto which are zoned and platted by the Declarant for single family residential use, which are not separately owned lots, shall be owned in common by the owners of the separately owned lots, parcels or areas. In the original

WHEN RECORDED MAIL TO
NAME L. VANCE BROWN, JR.
ADDRESS P.O. Box 16835
CITY & STATE OKC OK 73154

Plat appended hereto, the Common Areas shall consist of Blocks A, B and C. Additionally, the masonry wall, and an easement for fence maintenance appurtenant to said wall, abutting Homestead Boulevard, as reflected on the Plat, shall also be Common Area.

ARTICLE 1

DEFINITIONS

The following words, when used in this Declaration or any Supplemental Declaration (unless the context shall so prohibit), shall have the following meanings:

1.1 "Assessments" shall mean that portion of the cost of maintaining, improving, repairing, insuring, operating and managing the Property which is to be paid by each separate Owner as determined by the Association.

1.2 "Association" shall mean and refer to Homestead Property Owners Association, Inc., a non-profit corporation to be incorporated under the laws of the State of Oklahoma, its successors and assigns.

1.3 "Board" shall mean the Board of Managers of the Association.

1.4 "By-Laws" shall mean and refer to the Amended By-Laws of the Association, as such Amended By-Laws may be amended from time to time.

1.5 "Common Areas" mean and include all of the area on the Plats not included in the numerically identified lots to be separately owned, whether improved or unimproved, which are owned, leased or controlled by the Association for the common use and enjoyment of members of the Association.

1.6 "Common expenses" means and includes:

1.6.1 Expenses of administration, maintenance, repair or replacement of the Common Areas and improvements thereon;

1.6.2 Expenses agreed upon as common by all the separate Owners or declared common by provisions of the Amended By-Laws.

1.7 "Common profit" means the balance of all income, rents, profits and revenues from the Common Areas and Association dues and Assessments remaining after the deduction of the common expenses.

1.8 "Lot" shall mean any one of the separately identified parcels of real property, numerically described and designated as a Lot on the Plat appended as Exhibit "A".

1.9 "Member" shall mean and refer to an Owner of a Lot. All owners other than Declarant are Class A Members; Declarant shall be a Class B Member.

1.10 "Owner(s)" shall mean the record owner, whether one or more persons or entities, of legal title to any Lot which is or may become a part of the Property, including contract sellers, but excluding those having such interest merely as security for the performance of an obligation. Each Owner shall be a member of the Association.

1.11 "Plat" shall mean each and every Plat filed by the Declarant and recorded in the records of the County Clerk of Oklahoma County, Oklahoma, which covers all or any portion of the Property.

1.12 "Property" or "Homestead" means and includes the real property described above, and such additions thereto and other real property which may be zoned and platted by Declarant for single family residential purposes within the said Southeast Quarter (SE/4) which is annexed to the above-described property and/or brought within the jurisdiction of and subject to assessment by the Association by declaration of the Declarant.

1.13 "Residence" shall mean an improvement constructed for occupancy by a single family located on one Lot. Each Residence shall be constructed in conformity with the architectural and design standards set forth herein or in the Amended By-Laws appended hereto.

1.14 "Residential Use" shall mean the occupation or use of a Residence in conformity with this Declaration and the requirements imposed by applicable zoning laws or other state, county or municipal rules and regulations.

1.15 "Single Family" shall mean one or more persons each related to the other by blood, marriage, legal adoption or legal guardianship, or a group of not more than three persons not all so related, who maintain a common household in a Residence. Single Family shall also include domestic servants who maintain a common household in a Residence.

ARTICLE 2

FUTURE INTENT

2.1 FUTURE ADDITIONS. Although this Declaration includes only the real property described on the Plat appended hereto, it is the intention of the Declarant to cause additional declarations to be filed with respect to other property located within the Southeast Quarter (SE/4) of said Section 21, which additional declarations will be complementary hereto or shall incorporate these Amended Covenants. The future declarations will provide that the Owners of the Lots in such additions shall be Class A members of the Association. The Declarant will continue as the sole Class B member of the Association. Such future declarations shall also describe and convey any additional Common Areas to be owned by the Association. During its existence, the Association will include, as members, every Owner of a lot zoned for single family residential use within the said Southeast Quarter (SE/4) which is, or may in the future be, platted by Declarant as a residential lot within Homestead.

Each member of the Association will be subject to its Articles of Incorporation, Amended By-Laws, rules and regulations, as from time to time established and/or amended. The Common Areas which will be owned by the Association, as reflected on the Plat appended hereto, will ultimately include other lands within the Southeast Quarter which are not included on the appended Plat.

If within twenty (20) years of the date of incorporation of the Association, the Declarant or its successors and assigns should develop additional lands within the Southeast Quarter, such additional lands may be annexed to the above-described Property without the consent of the Members.

ARTICLE III

DESCRIPTION OF PROJECT, DIVISION OF PROPERTY, AND CREATION OF PROPERTY RIGHTS

3.1 Division of Property. The Property is hereby divided into the following separate freehold estates:

3.1.1 Lots. The Lot designations and statement of location and immediate area to which any Lot has access and any other data necessary for its proper identification are graphically described on the Plat.

3.1.2 Common Areas. The remaining portion of the Property, referred to herein as "Common Areas", as graphically described on the Plat.

3.1.3 Conveyance of Common Areas and Dedication of Easements. Declarant, in consideration of the benefits to be derived from this development, the receipt and sufficiency of which is acknowledged, hereby grants, bargains, sells and conveys to Homestead Property Owners Association, Inc., its successors and assigns, all of it right, title and interest in and to the Common Areas within Homestead, being more specifically described as Blocks A, B and C, and the Association Fence (as described and defined herein), and an easement for construction and maintenance of the Association Fence, all as described on the Plat of Homestead, a residential subdivision to the City of Edmond, Oklahoma County, Oklahoma.

3.2 Lots Subject to Restrictions. All Lots in Homestead shall be acquired, transferred, assigned or conveyed subject to the easements, conditions, restrictions and covenants of ownership set forth in these Amended Covenants and in the Amended By-Laws appended hereto, as same may be amended from time to time.

ARTICLE 4

ASSOCIATION, ADMINISTRATION, CLASSES OF MEMBERS AND VOTING RIGHTS

4.1 Association to Manage Property. The administration of the Property shall be governed by the Amended By-Laws of the Association, a true copy of which shall be available for inspection by all Owners at the offices of the Association. Each Owner shall comply strictly with the Amended By-Laws and with the

administrative rules and regulations adopted pursuant thereto, as either of the same may be amended from time to time, and with these Amended Covenants.

4.2 Membership. The Association shall be composed of all of the Owners of separate Lots as same are hereinabove described. Membership in said Association shall be appurtenant to, and may not be separated from, ownership of any Lot, even though such interest and membership is not expressly mentioned in the deed or other instrument of conveyance. Ownership of a Lot shall be the sole qualification for membership in the Association.

4.3 Classes of Members. The Association shall consist of Class A Members and Class B Members.

4.3.1 Class A Members. Class A Members shall be all those Owners of single-family residential Lots with the exception of Declarant. Each Class A member shall be entitled to one vote for each Lot in which he holds the interest required for membership as set forth herein. When more than one person holds such interest in any Lot, all such persons shall be members. The vote for such Lot shall be exercised as they among themselves determine, but in no event shall more than one vote be cast with respect to any Lot. Class A Members shall also include Owners of Lots in additions which may be developed, platted and subjected by Declarant to the provisions of these Amended Covenants by future amendment of these Amended Covenants or otherwise.

4.3.2 Class B Members. The Class B member(s) shall be the Declarant. The Class B member(s) shall be entitled to four (4) votes for each Lot in which it holds the interest required for membership as set forth herein. The Class B membership shall cease to exists when Declarant (i) owns no interest in any Lot in Homestead, as same is shown on the Plat appended as Exhibit A, and (ii) owns no interest in any Lot in any additions which may be subjected to these Amended Covenants in the future.

4.4 Voting. The proportionate representation for voting purposes in the meetings of the Association shall be one (1) vote per Lot for Class A members and four (4) votes per Lot for Class B members.

4.5 Membership Meetings. Regular and special meetings of the Association shall be held in accordance with the provisions of the Amended By-Laws appended hereto and incorporated herein.

4.6 Board of Managers. The affairs of the Association shall be managed by a Board of Managers ("Board"), which is hereby established by the appended Amended By-Laws. The Board shall conduct regular and special meetings according to the provisions of the Amended By-Laws.

ARTICLE 5

MAINTENANCE AND ASSESSMENTS

5.1 Creation of Lien and Personal Obligation of Assessment. Each Owner of any Lot in Homestead, by acceptance of a deed therefor, whether or not it

shall be so expressed in any such deed or other conveyance, is deemed to covenant and agree to pay the Association: (1) Purchase Assessments; (2) annual assessments or charges; and (3) special assessments for capital improvements; each such assessment to be fixed, established, and collected from time to time as hereinafter provided. The Purchase Assessments, annual assessments and special assessments, together with such interest thereon and costs of collection thereof, as hereinafter provided, shall be a charge on the land and shall be a continuing lien upon the property superior to any homestead or other exemption provided by law, but shall not be prior or superior to any purchase money mortgage lien or any first mortgage on a home. Said lien may be enforced by the Association and may be recorded and/or foreclosed in any manner provided by the laws of the State of Oklahoma for the foreclosure of mortgages or deeds of trust, with or without power of sale. Each such assessment, together with such interest, costs and reasonable attorney's fees shall also be the personal obligation of the person who was the Owner of such property at the time when the assessment fell due. The personal obligation shall not pass to his successors in title unless expressly assumed, but, nevertheless, the lien shall continue to be a charge and lien upon the land as above provided.

5.2 Purchase Assessment. Upon the initial sale by Declarant of each Lot to the Builder or original purchaser, there shall be immediately due and owing to the Association, a Purchase Assessment in the amount of One Hundred Dollars ($100.00), which is assessed, due and payable, as of the date of each transaction. All of such assessments shall be deposited into the Association's account(s) as provided in the Amended By-Laws.

5.3 Annual Assessments. Commencing on January 1, 1996, and each year thereafter, there shall be an annual assessment due from each Owner of a Lot, the amount of which shall be as set forth herein:

Type of Member	Amount
Class A	$200.00
Class B	0.00

From and after January 1, 1996, the Board, after consideration of current maintenance costs and future needs of the Association, may increase the annual assessment of Class A Members by a maximum of 10% per year, effective as of September 1 of each year, without a vote of the members. Increases in the annual assessments of Class A members in excess of 10% per year must be approved by a majority of the Class A Members. There shall be no annual assessment paid by the Class B Member(s) without the unanimous written approval of same by all Class B Member(s). Provided, a Builder, defined as an owner of a Lot who has acquired such Lot for purposes of construction of a residence for sale to a third party, shall not be subject to the Annual Assessments set forth herein unless and until such Builder or his tenant occupies such structure as a residence. Notwithstanding any other provision within these Amended Covenants and/or the Amended By-Laws of the Association, Class A members shall not be entitled to amend the Amended Covenants and/or the Amended By-Laws in any manner which would require Declarant, as the Class B member, or Builders (except those occupying a structure as a

residence) to be subjected to the Annual Assessments of the Association or any Special Assessment.

Provided, Declarant shall pay any deficits and any necessary reserves required for the Association to meet its annual budget. Upon majority vote of the Board of Managers, the Association may assess the amount of any such unpaid deficit or necessary reserve as a lien against the Lots owned by Declarant. Provided, the liability of Declarant for reserves and deficits to the Association's budget shall terminate upon the earlier event of (a) ownership by Class A Members of 75 or more Lots; or (b) January 1, 2000. The Association, by a majority vote of the Managers, may secure the Declarant's liability for deficits and reserves, as set forth herein, through liens on the Lots owned by Declarant.

5.4 Special Assessments. The Association may levy a special assessment upon Class A members, other than Builders, for the purpose of defraying, in whole or in part, the cost of any construction, reconstruction, repair or replacement of a capital improvement on or related to the Common Areas, including the community pool, buildings, fixtures and personal property or fences located on the Common Areas, or to defray any unanticipated or underestimated expense normally covered by the purchase assessment or any regular assessment (and, where necessary, for taxes assessed against the Common Areas); provided that, any such assessment or charge as to any period shall have the assent of two-thirds (2/3rds) of the Class A members at a meeting called for this purpose, written notice of which shall be sent to all Members not less than twenty (20) and not more than forty (40) days in advance of the meeting setting out the purpose of the meeting. Special assessments may also be levied against any individual Lot and its Owner to reimburse the Association for costs incurred in bringing that Owner and his Lot into compliance with these Amended Covenants and/or the Amended By-Laws.

5.5 Purpose of Assessments. The assessments, including the purchase assessment and any regular or special assessments which may be levied by the Association, shall be used exclusively to provide for the maintenance of the Common Areas for the common good of the Property. Annual assessments shall include an adequate reserve fund to insure, maintain and repair the Common Areas.

5.6 Allocation of Assessments. Each Lot owned by Class A members shall bear an equal share of any aggregate regular and special assessment, other than special assessments levied against an individual Owner pursuant to ¶ 5.4.

5.7 Transfer of Lot by Sale or Foreclosure. Sale or transfer of any Lot shall not affect the assessment lien; however, the sale or transfer of any Lot pursuant to mortgage foreclosure shall extinguish the lien of such assessment as to payments which become due prior to such sale or transfer (except for assessment liens recorded prior to the mortgage). No sale or transfer shall relieve such Owner from liability for any assessments thereafter becoming due or from the lien thereof. In a voluntary conveyance of a Lot, the grantee of the same shall be jointly and severally liable with the grantor for all unpaid assessments by the Association against the latter for his share of the common expenses up to the time of the grant or conveyance without prejudice to the grantee's right to recover from the grantor the amounts paid by the grantee therefor; however, any

such grantee shall be entitled to a statement from the Association setting forth the amount of the unpaid assessments due the Association and such grantee shall not be liable for, nor shall the Lot be subject to a lien for, any unpaid assessments made by the Association against the grantor in excess of the amount set forth in the statement; provided, however, the grantee shall be liable for any such assessment becoming due after the date of any such statement.

5.8 Enforcement of Assessment Obligation; Priorities, Discipline. Any part of any assessment not paid within thirty (30) days after the due date shall bear interest at the rate of ten percent (10%) per annum from the due date until paid. When a notice of assessment and/or lien has been recorded, such assessment shall constitute a lien on each respective Lot prior and superior to all other liens except (1) all taxes, bonds, assessments and other levies which, by law, would be superior thereto and (2) the lien or charge of any first mortgage of record (meaning any recorded mortgage or deed of trust with first priority over other mortgages or deeds of trust) made in good faith and for value. Such lien, when delinquent, may be enforced by sale by the Association, its attorney or other person authorized by this document or by law to make the sale, after failure of the Owner to pay such assessment. The Association, acting on behalf of the Owners, shall have the power to bid for the Lot at the foreclosure sale and to acquire and hold, lease, mortgage and convey the same. Suit to recover a money judgment for unpaid common expenses, rent and attorneys' fees shall be maintainable without foreclosing or waiving the lien securing the same. The Board may impose reasonable monetary penalties, which penalties may include attorney fees and expenses of litigation or collection, against an Owner who is in default in payment of any assessment, after notice and hearing according to the Amended By-Laws.

5.9 Commencement Date of Annual Assessments. The annual assessments provided for herein shall commence on the date on which a single-family home is constructed thereon and first occupied by the Owner or by any other person occupying all or any part of such structure. The Board shall determine the amount of the annual assessment due from such Owner, calculated by the following formula: Annual Assessment Amount x days remaining in calendar year/365. The Board shall notify the Owner of the amount of the assessment due from such initial Owner. The initial annual assessment shall be due within 45 days of receipt of notice from the Board of the amount owed. Thereafter, annual assessments shall be due and owing as of January 1st of each subsequent year by the Owner of the Lot occupying same as of said date.

ARTICLE 6

DUTIES AND POWERS OF THE ASSOCIATION AND BOARD

6.1 Statutory Duties and Powers of the Association. The duties and powers of the Association shall be as required, implied or necessary by 60 Okla. Stat. §§ 851 through 855, inclusive, as same presently exist or may be hereafter amended relative to Real Estate Developments.

6.2 Other Duties and Powers of the Association. In addition to the duties and powers enumerated in the Amended By-Laws or elsewhere provided for

herein, the Association, acting through the Board, may enforce these Amended Covenants and shall:

6.2.1 Maintenance and Repairs. Maintain, insure, repair, replace, restore, operate and manage all of the Common Areas.

6.2.2 Enforcement. Enforce the provisions of this Declaration by appropriate means including, without limitation, the expenditures of funds of the Association, the employment of legal counsel and the commencement of legal proceedings.

6.2.3 Insurance. Maintain such policy or policies of insurance as are required by this document or as the Board deems necessary or desirable in furthering the purposes of and protecting the interests of the Association.

6.2.4 Rules and Regulations. The Board shall adopt and enforce such rule and regulations as the Board deems desirable for the use, security and safety of Owners in respect to the Common Areas. Rules and Regulations adopted by the Board shall be prominently displayed or otherwise published to the Owners.

ARTICLE 7

USE RESTRICTIONS AND ARCHITECTURAL CONTROL

In addition to all of the covenants contained herein, the use of the Property and each Lot therein is subject to the following use restrictions and architectural controls and limitations:

7.1 Nuisances. No noxious, illegal or offensive activities shall be carried on in any Lot, or in any part of the Property, nor shall anything be done thereon which may be or may become an annoyance or a nuisance to or which may in any way interfere with the quiet enjoyment by an Owner of his respective Lot, or which shall in any way increase the rate of insurance for the Project, or cause any insurance policy to be canceled or to cause a refusal to renew the same, or which will impair the structural integrity of any building. The Board shall have the power to make and to enforce reasonable rules and regulations in furtherance of this provision.

7.2 Use of Lots. Except as may be provided hereinbelow, each Lot shall be used for single family residential purposes only, and no trade or business of any kind may be carried on therein. Lease or rental of a Lot for residential purposes shall not be considered to be a violation of this covenant. Any lessee or tenant shall in all respects be subject to the terms and conditions of these Amended Covenants, the Amended By-Laws and any rules and regulations adopted hereunder. Without the prior written consent of the Board, nothing shall be done or kept on any Lot or in the Common Areas or any part thereof to increase the rate of insurance on the Property or any part thereof over what the Association, but for such activity, would pay.

7.3 Architectural Standards and Building Committee. No residence shall be erected or altered on any Lot except as is installed or approved by the

Declarant in connection with the initial construction of buildings or until the building plans and specifications and plot plan showing the location of such building have been approved in writing as to the conformity and harmony of external design with existing structures in Homestead, and as to the location of the building with respect to topography and finished ground elevation by a building committee composed of DAVID P. ROBERTS and RUSSELL L. ROBERTS, or by a representative designated by a majority of the members of said committee. In the event of the death or resignation of any member of said committee, the remaining member or members shall have full authority to approve or disapprove such design and location. In the event the building committee fails to approve or disapprove such design and location within thirty (30) days after said plans and specifications shall have been submitted to it, approval will not be required and the Owner submitting such plans and specifications shall be deemed to have complied with this provision. The building committee may act upon its own motion or upon the written request of any Owner. The Association, building committee or its representatives may institute suit to enjoin or to remove such additions, alterations or improvements, which have not been approved as provided herein, at any time, and all costs and attorney fees shall be the responsibility of the Owner whose actions caused such suit to be instituted. No permission or approval shall be required to rebuild in accordance with the original plans and specifications or to rebuild in accordance with the original specifications previously approved by the building committee. Neither the members of the committee nor its designated representatives shall be entitled to any compensation for services performed pursuant to this covenant. The original members of the building committee, and their successors, shall be replaced, effective January 1, 2010, with three individuals, all of whom must be Owners, who shall serve for such terms as designated by the Board

7.4 Structural Size Restriction. The floor area of the main structure, exclusive of porches, basements and garage(s), shall not be less than 2000 square feet.

7.5 Brick or Stone Construction. Unless otherwise approved by the building committee, the principal exterior of the first floor of any residence, excluding the roof, shall be at least eighty percent (80%) brick, stone or stucco, as approved by the Building Committee, and twenty percent (20%) may be frame wood, shingles or other materials which will blend together with the brick, stone or stucco. It is the intent of this restriction to allow panels of other materials other than brick, stone or stucco to be used, but in no event shall a continuing wall consisting of twenty percent (20%) or more of the exterior of the residence be built of any material other than brick, stone or stucco. This restriction is intended to restrict the principal exterior of the first floor of residences to masonry in their construction, but may be modified to allow use of other materials to blend with the masonry to eliminate repetition of design, provided such modification must be approved in writing, in advance, by the building committee. All fireplace chimneys or chases must be constructed of masonry or masonry veneer.

7.6 Garages and Carports. Garages must be at least two cars wide and must be attached to the residence. No carports shall be permitted on the Property.

7.7 Roof Construction. Unless otherwise approved by the building committee in writing, the roof of each residential structure in Homestead, including garages and detached structures, shall be constructed with Elk Prestique II shingles, or an equivalent or superior shingle approved by the building committee, which shingles shall be of gray weathered wood color. Upon written application to the building committee, the building committee may approve variances to this restriction if such variance, in the opinion of the building committee, conforms to the architectural standards of Homestead. All such variances must be approved in writing by the building committee.

7.8 Setback and Side Building Limits. No building structure or part thereof shall be erected or maintained on any Lot nearer to the front street or the side street than the front building limit or the side building limit line as shown on the Plat. No building structure or any part thereof shall be located, placed or maintained within five feet (5') of the side Lot line of any Lot. No building structure or part thereof shall be erected or maintained within twenty feet (20') of the back lot line.

7.9 Garbage, Trash and Refuse Disposal. All rubbish, trash and garbage shall be regularly removed from the Property and any Lots, and shall not be allowed to accumulate thereon. Trash, garbage and other waste shall not be kept except in sanitary containers.

7.10 Pets. No animals, livestock or poultry of any kind shall be raised, bred, or kept on any lot or building site, except that dogs, cats or other household pets may be kept, provided that they are not kept, bred or maintained for any commercial purposes.

7.11 Above Ground Pools. No pools with a capacity of more than 100 gallons of water shall be installed, placed, erected or maintained above the surface of the ground of any Lot located in Homestead.

7.12 Vehicle Restrictions. No trailer, camper (including a camper shell on a pickup truck or other vehicle), mobile home, commercial vehicle, truck (other than standard size pickup truck), inoperable vehicle, boat or similar equipment shall be permitted to remain upon any area within Homestead, except within a completely enclosed garage, other than temporarily. For purposes of this restriction "temporarily" means a period less than 24 hours. Commercial vehicles shall not include sedans or standard size pickup trucks which are used both for business and personal use, provided that any signs or marking of a commercial nature on such vehicles shall be unobtrusive and inoffensive as determined by the Association. No noisy or smoky vehicles shall be operated in Homestead. No off-road unlicensed motor vehicles shall be maintained or operated in Homestead.

7.13 Diseases and Insects. No Owner shall permit any thing or condition to exist upon any Lot which shall induce, breed or harbor infectious plant diseases or noxious insects.

7.14 Signs. No signs or billboards shall be displayed to the public view on any Lot except signs placed by builders or licensed realtors for the sale or

rental of property and such signs as are approved by the Association or committee appointed by the Association. Provided, an Owner's "For Sale" or "For Rent" sign, approved by the Association as to size and content, may be displayed.

7.15 Radio and Television Antennas. No radio tower shall be constructed or installed upon any Lot or Common Areas within Homestead. No alteration to, or modification of, a central radio or television antenna or cable system, whichever is applicable, shall be permitted and no Owner may be permitted to construct, use or operate his own external radio or television antenna, including satellite dish receivers with diameters in excess of thirty inches (30"), without the written consent and approval of the building committee.

7.16 Liability of Owners for Damage to Common Areas. The Owner of each Lot shall be liable to the Association for all damages to the Common Areas or improvements thereon caused by such Owner or any occupant or guest of such Owner.

7.17 Power Equipment and Car Maintenance. No power equipment, workshops or car maintenance shall be permitted on any lot as a commercial venture. Car maintenance, other than routine servicing of vehicles (oil change, car wash, etc.), shall not be conducted on the Property except wholly within the garage of a residence.

7.18 Temporary Structures. No structure of a temporary nature, including trailers, basements, tents, shacks, garages, barns or other outbuilding shall be used on any lot or building site at anytime as a residence, either temporarily or permanently. This restriction shall not apply to temporary business offices of builders.

7.19 Outbuildings. No outbuildings, sheds or storage structures shall be constructed or located on any Lot without the prior written approval of the building committee.

7.20 Waiver of Restrictions by Building Committee. The Building Committee is authorized to waive any of the terms and conditions of these covenants pertaining to the construction and location of structures if the Building Committee determines that the requested waiver would be in conformity and harmony with the external design of existing structures in Homestead, and/or as to the location of the building or structure with respect to topography and finished ground elevation.

7.21 Fencing and Special Fence Restrictions on Lots Appurtenant to Homestead Boulevard. All fences on side or rear lot lines which abut Homestead Boulevard shall be uniform in design and shall be originally constructed by Declarant on the fence and maintenance easement described on the plat. The fence constructed on the easement shall be considered a part of the Common Area, which fence shall be maintained by the Association (hereinafter the "Association Fence.") Any fence, other than a fence constructed upon the perimeter of a lot, is prohibited without the prior written approval of the Building Committee. The Association Fence shall be the only perimeter fence permitted on the lot lines which abut Homestead Boulevard. No Owner of any lot appurtenant to Homestead Boulevard shall construct any additional fence parallel to the Association Fence.

Extensions, additions or modifications to the Association Fence are prohibited without the prior written approval of the Building Committee. The Association shall be responsible for maintenance and repair of the Association Fence. The Owner of the lot upon which a segment of the Association Fence is constructed shall be responsible for maintenance of the appurtenant grass and plantings on both sides of the Association Fence on said Owner's Lot.

7.22 Warranty of Enforceability. While the Declarant has no reason to believe that any of the restrictive covenants of this Article 6 or elsewhere in these Amended Covenants are or may be invalid or unenforceable for any reason or to any extent, it makes no warranty or representation as to the present or future validity or enforceability of any such restrictive covenant. Any Owner acquiring a Lot in Homestead in reliance on one or more of such restrictive covenants shall assume all risks of the validity and enforceability thereof and, by acquiring the Lot, agrees to hold the maker hereof harmless therefrom.

7.23 Prohibition of Alteration and Improvement. No building, structure, shed, fence, wall, obstruction, balcony, screen, patio, patio cover, tent, awning, sheds, carport, carport cover, improvement or structure of any kind shall be commenced, erected, or maintained upon the Property, nor shall any alteration or improvement of any kind be made to any previously constructed structure, until the same has been approved in writing by the building committee.

7.24 Enforcement and Access by Managers and Building Committee. The Board shall have the power to make and to enforce reasonable rules and regulations in furtherance of this Article. During reasonable hours, Declarant, any member of the building committee, any member of the Board, or any authorized representative of any of them, shall have the right to come upon and inspect any Lot and the improvements thereon (except for the interior portions of any Residence) for the purpose of ascertaining whether or not the provisions of this Article have been or are being complied with, and such persons shall not be deemed guilty of trespass by reason of such entry.

ARTICLE 8

GENERAL PROVISIONS

8.1 Enforcement. The Association, any Owner and any governmental or quasi-governmental agency or municipality having jurisdiction over the Property, shall have the right to enforce, by any proceeding at law or in equity, all restrictions, conditions, covenants, reservations, liens and charges now or hereafter imposed by this document and, in such action, shall be entitled to recover costs and reasonable attorneys' fees as are ordered by the Court; provided, however, that an individual Owner shall have no right to enforce the collection of any assessment levied against any other Owner under Article 4, above. Failure by any such person or entity to enforce any such provision shall in no event be deemed a waiver of the right to do so thereafter.

8.2 Invalidity of Any Provision. Should any provision of this document be declared invalid or in conflict with any law of the jurisdiction where the

Project is situated, the validity of all other provisions shall remain unaffected and in full force and effect.

8.3 Amendments. To the extent not inconsistent with 60 Okla. Stat. §§ 851, et seq., as same is now or may hereafter be amended, an amendment of these Amended Covenants may be enacted by the vote or written assent of a majority of the Owners; provided, however, that the percentage of the voting power necessary to amend a specific clause or provision shall not be less than the prescribed percentage of affirmative votes required for an action to be taken under that clause. Any amendment must be recorded and shall become effective upon being recorded in the office of the County Clerk of Oklahoma County, Oklahoma.

8.4 Mortgage Protection Clause.

8.4.1 Rights of First Mortgagees. No breach of any of the Amended Covenants, Conditions and Restrictions contained in this document, nor the enforcement of any lien provisions herein, shall render invalid the lien of any first mortgage (meaning a mortgage with first priority over any other mortgage) on any Lot made in good faith and for value, but all of said Amended Covenants, Conditions and Restrictions shall be binding upon and be effective against any Owner whose title is derived through foreclosure or trustee's sale or otherwise.

8.4.2 Mortgage Priority; Right to Inspect Records. Notwithstanding any language contained in this document to the contrary, no Owner and no other party shall have priority over any rights of institutional lenders pursuant to their mortgages in the case of a distribution to Owners of insurance proceeds or condemnation awards for losses to or taking of Lots and/or any portion or element of the Common Areas. Institutional lenders shall have the right to examine the books and records of the Association.

8.5 Insurance. The Association shall obtain and continue in effect, comprehensive public liability insurance insuring the Association, the Developer and the agents and employees of each and the Owners and employees, guests and invitees of the Owners against any liability incident to the ownership or use of the Common Areas and facilities in the Common Areas and including, if reasonably obtainable, a cross-liability endorsement insuring each insured against liability to each other insured and a "severability of interest" endorsement precluding the insurer from denying coverage to one Owner because of the negligence of other Owners or the Association.

8.5.1 Insurance Premiums. Insurance premiums on policies purchased by the Association shall be a common expense to be paid from the assessments provided for herein or as levied by the Association. The acquisition of insurance by the Association shall be without prejudice to the right of any Owners to obtain additional individual insurance.

8.6 Owners' Compliance. Each Owner, tenant or occupant of a Lot shall comply with the provisions of the Project documents and all decisions and resolutions of the Association or its duly authorized representative, and failure to comply with any such provisions, decisions or resolutions shall be grounds for an action to recover sums due for damages (including costs and attorneys fees)

and/or for injunctive relief. All agreements and determinations lawfully made by the Association in accordance with the voting percentage established in this document or in the Amended By-Laws shall be deemed to be binding on all Owners of Lots, their successors and assigns.

8.7 Conflict of Project Documents. If there is any conflict among or between the Project documents, the provisions of these Amended Covenants shall prevail; thereafter, priority shall be given to Project documents in the following order: Plat, Amended By-Laws and rules and regulations of the Association.

8.8 Service of Process. The name of the person to receive service of process together with the residence or place of business of such person in Oklahoma County is David P. Roberts, P.O. Box 424, Spencer, Oklahoma 73084, or such other person as the Board may designate by an amendment hereto filed solely for that purpose.

IN WITNESS WHEREOF, the undersigned have executed this document this 31st day of January, 1996.

DANFORTH DEVELOPERS, L.L.C.

David P. Roberts, Manager

STATE OF OKLAHOMA)
) ss
COUNTY OF OKLAHOMA)

Before me, the undersigned, a Notary Public, in and for said County and State on this 31st day of January, 1996, personally appeared David P. Roberts of Danforth Developers, L.L.C., to me known to be the identical person who subscribed the name of the maker thereof to the foregoing instrument as its Manager and acknowledged to me that he executed the same as his free and voluntary act and deed and as the free and voluntary act and deed of said entity, for the uses and purposes therein set forth.

Given under my hand and seal of office the day and year last above written.

Karen Trowbridge
Notary Public

My Commission Expires:

KAREN TROWBRIDGE
Oklahoma County
Notary Public in and for
State of Oklahoma
My commission expires Mar. 6, 1998.

DEED/91

HOMESTEAD I

A Part of the SE 1/4, Sec.21, T-14-N, R-3-W, I.M.

An Addition to the City of Edmond, Oklahoma

LEGAL DESCRIPTION
HOMESTEAD I
(Final Plat Description)

A part of SE 1/4 of Section 21, T14N, R3W, Oklahoma County, Oklahoma. Being more particularly described as follows:

DESCRIPTION	AS the BP present of said SE 1/4;
THENCE	S 89°51'56" E a distance of 1329.44 ft.;
THENCE	S 00°02'04" W a distance of 578.00 ft.;
THENCE	S 89°57'56" E a distance of 52.55 ft.;
THENCE	S 00°02'04" W a distance of 249.00 ft.;
THENCE	S 51°57'56" E a distance of 84.85 ft.;
THENCE	S 51°57'56" E a distance of 390.00 ft.;
THENCE	S 51°57'56" E a distance of 1005.00 ft.; to a
THENCE	S 00°02'04" W a distance of 1011.00 ft. to a point of curve;
THENCE	Along a curve to the left having a radius of 1000.00 ft., an arc length of 156.27 ft., the chord of said curve bears S 04°31'57" W a distance of 156.11 ft.;
THENCE	S 89°01'49" W a distance of 176.19 ft.;
THENCE	S 00°01'09" E a distance of 249.19 ft.;
THENCE	S 89°01'49" W a distance of 330.00 ft.;
THENCE	S 00°01'09" W a distance of 1345.81 ft. to the POINT OF BEGINNING;

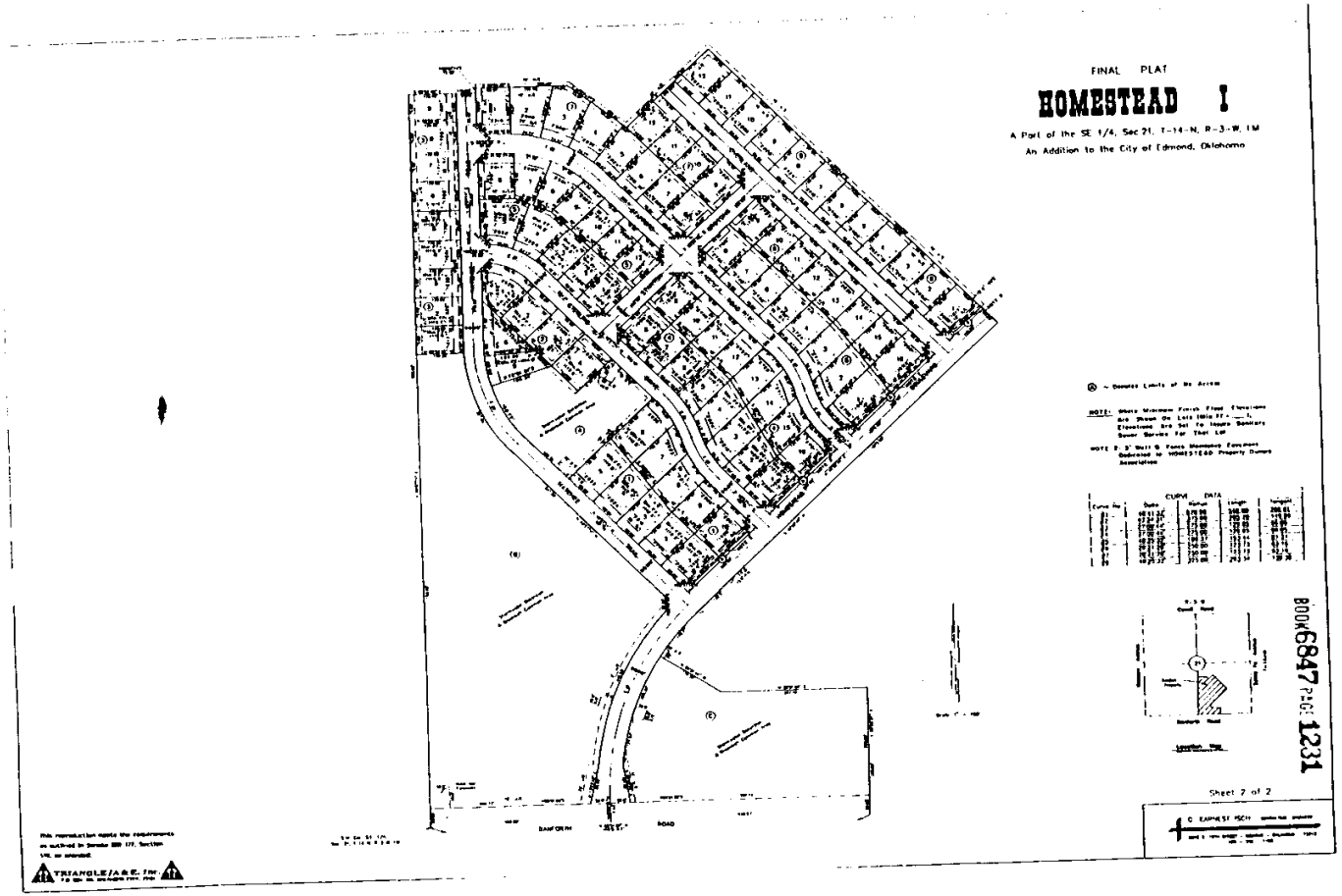
The above described tract contains 42.91 acres more or less and is subject to easements, rights-of-ways, and restrictions of record

Sheet 1 of 2

BOOK 6847 PAGE 1230

OWNER | OWNER'S NOTARY | SURVEYOR | SURVEYOR'S NOTARY | ABSTRACTER | COUNTY | CITY

TRIANGLE/J.A.E. Inc



FINAL PLAT

HOMESTEAD I

A Part of the SE 1/4, Sec 21, T-14-N, R-3-W, I.M.

An Addition to the City of Edmond, Oklahoma

BOOK 6847 PAGE 1231

Sheet 2 of 2

TRIANGLE/A&E, INC.

AMENDED BY-LAWS OF HOMESTEAD PROPERTY OWNERS ASSOCIATION, INC. (A NON-PROFIT ORGANIZATION)

ARTICLE I

NAME

The name of this organization shall be Homestead Property Owners Association, Inc. (the "Association").

ARTICLE II

PURPOSE AND PARTIES

2.1 Purpose. The purpose of the organization shall be the administration of the Property described in the Amended Covenants, Conditions and Restrictions of Homestead (hereinafter the "Covenants"), a residential subdivision to the City of Edmond, Oklahoma, as shown by the recorded Plat or Plats to be recorded thereof, and all property which may be subjected to the Amended Covenants by amendment thereof or otherwise, of which these Amended By-Laws are a part, which administration shall be in accordance with these Amended By-Laws and the provisions of 60 Okla. Stat. §§ 861, et seq. All definitions and terms contained in the Amended Covenants shall apply hereto and are incorporated herein by reference.

2.2 Members. All present and future owners and tenants of any lot, mortgagees and other persons who may use the facilities of the Property in any manner are subject to these Amended By-Laws, the Amended Covenants, the rules and regulations of the Association, and all agreements and easements relating thereto.

ARTICLE III

LOT OWNERS

3.1 Membership. Any person on becoming an owner of a lot shall automatically become a member of Homestead Property Owners Association and be subject to these Amended By-Laws. Such membership shall terminate without any formal action by the Association whenever such person ceases to own a lot, but such termination shall not relieve or release any such former owner from any liability, obligation, right or remedy incurred under or in any way connected with the Association or during the period of such ownership and membership in the Association. The membership shall be deemed conveyed or encumbered with the lot even when such interest is not expressly mentioned or described in the conveyance or other instrument.

3.1.1 Class of Membership. There shall be two (2) classes of membership in the Association. Class A members shall be all purchasers, and their successors and assigns, of a lot from the Developer. Class B members shall be the Developer. Notwithstanding any other provision in the Amended Covenants or these Amended By-Laws, Class B members shall not be subject to levy for regular or special assessments by the Association. Only lots owned by Class A members shall be subject to any levy for regular and/or special assessments by the Association. Provided, a Builder (defined herein as an Owner of a Lot who has acquired such lot for purposes of construction of a residence for sale to a third party) shall not be subject to either annual or special assessments unless and until the Builder or his tenant

occupies such structure as a residence. This provision of the Amended By-Laws may not be altered, amended or modified by the Association except by the written approval of Class B members. Class B members shall not be subject to levy for regular or special assessments by the Association. However, Class B members shall pay the necessary reserves and deficits of the Association's operating budget until the earlier of (a) ownership by Class A members of 75 or more Lots; or (b) January 1, 2000. Provided further, the Class B members' responsibility for operating deficits and reserves, as set forth herein, may be secured by the Association through liens on Lots owned by Class B members.

3.2 Annual Meetings. Regular annual meetings of members of the Association shall be held at a residence on the Property or at such other suitable place convenient to the members as may be designated by the Board. The first meeting of the Association shall be held on or about November 15, 1995.

3.3 Special Meetings. A special meeting of members of the Association shall be promptly called by the Board upon the vote for such a meeting by a majority of a quorum of the Board or upon receipt of a written request therefor signed by members representing twenty-five (25%) of the total voting power of the Association or by members representing fifteen percent (15%) of the voting power residing in members other than Developer.

3.4 Notice of Meeting. The Board shall give notice of regular and special meetings to members by posting notice of the date, time and location thereof at conspicuous places on or near the Property. The Board shall give the Developer written notice of the annual meeting at least fifteen (15) days prior to the scheduled meeting date. The Board shall give Developer written notice of all special meetings at least five (5) days before any special meeting.

3.5 Quorum. The Board shall be entitled to conduct any and all business, with or without a quorum being present, at any annual or special meeting of which notice has been given as set forth herein, except as may otherwise be provided herein.

3.6 Proxies. At all meetings of members, each member may vote in person or by proxy.

3.7 Voting. Class A members shall be entitled to one vote for each lot owned by said owner or owners. Whenever more than one person holds such interest in any lot, the vote for such lot shall be exercised as those Owners themselves determine and advise the secretary prior to any meeting. In the absence of such advice, the lot's vote shall be suspended in the event more than one person seeks to exercise it. Class B members shall be entitled to four (4) votes for each Lot owned. Each vote shall have equal value.

ARTICLE IV

BOARD OF MANAGERS: SELECTION: TERM OF OFFICE

4.1 Number and Term of Managers. The Board shall consist of three (3) managers, each of whom shall be a lot owner or an agent of Developer (while Developer remains a lot owner). The managers shall serve concurrent terms of one (1) year. The initial managers, who shall be appointed by the Developer, or its successor, shall serve until the first meeting of the Association; thereafter, all managers shall be elected and removed according to these Amended By-Laws. So long as the Developer owns more than 5% of the lots in Homestead, Developer shall be entitled to elect one (1) of the three managers, who need not be a lot owner.

4.2 Election of Board of Managers.

4.2.1 Nominations. Nominations for election to the Board (for election of managers which are not appointed or elected by Developer as provided in § 4.1) shall be made by a nominating committee. Nominations may also be made from the floor at the annual meeting of the Association. The nominating committee shall consist of a chairman, who shall be a member of the Board, and two or more members of the Association.

4.2.2 Cumulative Voting. Elections of Board members shall be by cumulative voting if more than one position is to be filled in an election.

4.3 Vacancies. Vacancies in the Board caused by any reason other than the removal of a manager by a vote of the members shall be filled by a vote of the majority of the remaining managers, even though they may constitute less than a quorum, and each person so elected shall be a manager until a successor is elected at the next annual meeting of the Association or at a special meeting of the members called for that purpose.

ARTICLE V

MEETINGS OF MANAGERS

5.1 Regular Meetings. Regular meetings of the Board shall be conducted at the same time as the annual meeting of the members, and at such other times as the Board deems desirable.

5.2 Special Meetings. A special meeting of the Board may be called by written notice signed by the President of the Association or by any two (2) managers other than the President. Notice shall be provided to all managers with a description of the nature of any special business to be considered by the Board.

5.3 Quorum. The presence in person of a majority of the managers at any meeting of the Board shall constitute a quorum for the transaction of business and the acts of a majority of the managers present at a meeting at which a quorum is present shall be the acts of the Board.

5.4 Board Meetings Open to Members, Exceptions. Regular and special meetings of the Board shall be open to all members of the Association. The Board may, with the approval of a majority of a quorum of the managers, adjourn a meeting and reconvene in executive session to discuss and vote upon personnel matters, litigation or threatened litigation and orders of business of a similar nature.

5.5 Fidelity Bonds. The Board may obtain adequate fidelity bonds for all officers and employees of Association handling or responsible for funds of the organization. The premium for any such bonds shall be a common expense.

5.6 Compensation. No member of the Board shall receive any compensation from the Association or lot owners for acting as such.

5.7 Liability of the Board of Managers. The members of the Board shall not be liable to the lot owners for any mistake of judgment, negligence or otherwise except for their own individual willful misconduct or bad faith. The lot owners shall indemnify and hold harmless each of the members of the Board against all contractual or tort liability to others arising out of contracts made by the Board on behalf of the Association unless any such contract

shall have been made in bad faith or contrary to the provisions of the Amended Covenants or these Amended By-Laws. It is intended that the members of the Board shall have no personal liability with respect to any contract made by them on behalf of the Association or the Project. It is understood and permissible for the original Board, who are members of or employed by Developer, to contract with the Developer and affiliated corporations without fear of being charged with self-dealing. It is also intended that the liability of any lot owner arising out of any contract made by the Board or out of the aforesaid indemnity in favor of the members of the Board shall be limited to such proportion of the total liability thereunder as his interest in the Property bears to the total of all ownership interests in the Property. Every agreement made by the Board or by the managing agent or by the manager on behalf of the Association shall provide that the members of the Board, or the managing agent or the manager, as the case may be, are acting only as agents for the lot owners and shall have no personal liability (except as lot owners) and that each lot owner's total liability thereunder shall be limited to such proportion of the total liability thereunder as his interest in the Property bears to the interest of all lot owners in the Property.

ARTICLE VI

POWERS AND DUTIES OF THE BOARD OF MANAGERS

6.1 Powers and Duties. The Board shall have the powers and duties necessary for the management and administration of the Property. Without limitation on the generality of the foregoing powers and duties, the Board shall be vested with, and responsible for, the following powers and duties:

6.1.1 To select, appoint, supervise and remove all officers, agents and employees of the Association; to prescribe such powers and duties for them as may be consistent with the law and with the Amended Covenants and these Amended By-Laws.

6.1.2 To enforce the applicable provisions of the Amended Covenants, these Amended By-Laws, and other instruments relating to the ownership, management and control of the Property.

6.1.3 To adopt, publish and enforce rules and regulations governing the use of the Property and the personal conduct of the members and their guests upon the Common Areas, and to establish procedures and penalties for the infraction thereof, subject to approval of the membership.

6.1.4 To cause the Common Areas to be maintained, adequately insured, repaired and improved, for the benefit of the membership, and to contract for goods and/or services for the Common Areas or for the Association, and to pay all taxes and assessments which are or could become a lien on the Common Areas or a portion thereof.

6.1.5 To delegate its powers to committees or officers.

6.1.6 To prepare budgets and financial statements for the Association as prescribed in these Amended By-Laws.

6.1.7 To initiate and execute disciplinary proceedings against members of the Association for violations of the provisions of the Amended Covenants, these Amended By-Laws and such rules as may be promulgated by the Board in accordance with the procedures set forth in these Amended By-Laws.

6.1.8 To fix and collect regular and special assessments according to the Amended Covenants and these Amended By-Laws and, if necessary, to record a notice of assessment and foreclose the lien against any lot for which an assessment is not paid within thirty (30) days after the due date or bring an action at law against the owner personally obligated to pay such assessment. All reserves for capital expansion, repair, taxes, insurance and maintenance shall be immediately transferred to, and held in, a trust fund or other depository account with an institutional lender upon terms and conditions which are approved by the Board. All funds of the Association shall be restricted in use to the sole and exclusive benefit of the Association's administration of the Property and shall not otherwise be expended.

6.1.9 To prepare and file annual tax returns with the federal government and the State of Oklahoma and to make such elections as may be necessary to reduce or eliminate the tax liability of the Association. Without limiting the generality of the foregoing, the Board may, on behalf of the Association, elect to be taxed, if possible, under Section 528 of the Internal Revenue Code or any successor statute conferring income tax benefits on owners' associations. In connection therewith, the Board shall take such steps as are necessary to assure that the income and expenses of the Association for any taxable year shall meet the following limitations and restrictions (which limitations and restrictions may change from time to time to conform with changes in the tax code):

a. At least 80% of the gross income of the Association for any taxable year shall consist solely of amounts received as membership dues, fees or assessments from lot owners.

b. At least 90% or more of the expenditures of the Association for any taxable year shall be for the acquisition, construction, management, maintenance and care of the Association's Property;

c. No part of the net earnings of the Association shall inure (other than by acquiring, constructing or providing management, maintenance and care of the Association's Property and other than by a rebate of excessive membership dues, fees or assessments) to the benefit of any private individual.

6.2 Limitation of the Board's Power. Except with the vote or written assent of a majority of the voting power of the Association, the Board shall be prohibited from taking any of the following actions:

6.2.1 Paying compensation to managers or to officers of the Association for services performed in the conduct of the Association's business, provided, however, that the Board may cause a manager or officer to be reimbursed for expenses incurred in carrying on the business of the Association.

6.2.2 Entering into a contract with a third person wherein the third person will furnish goods or services for the Common Areas or the Association for a term longer than one (1) year with the following exceptions:

a. A management contract;

b. A contract with a public utility company if the rate charged for the materials or services are regulated by the Corporation Commission; provided, however, that the term of the contract shall not exceed the shortest term for which the supplier will contract at the regulated rate;

c. Prepaid casualty and/or liability insurance policies of not to exceed three (3) years duration provided that the policy permits for short rate cancellation by the Insured;

d. Any agreement for professional management of the Project or any other contract providing for services by Developer shall provide for termination by either party without cause or payment of a termination fee on ninety (90) days or less written notice and shall provide for a maximum contract term of three (3) years.

6.2.3 The funds of the Association shall be maintained in trust account for the benefit of the organization or shall be deposited with an institutional bank in an interest bearing account, and may not be accessed or withdrawn by the Board, or any member of the Association or other person, except by check or draft drawn on the Association's account and signed by at least two of the officers of the organization.

ARTICLE VII

OFFICERS AND DUTIES

7.1 Enumeration and Term. The officers of the Association shall be a president, who shall at all times be a member of the Board, a secretary, treasurer and such other officers as the Board may from time to time by resolution create. The officers shall be elected annually by the Board and each shall hold office for one (1) year unless he shall sooner resign or shall be removed or otherwise disqualified to serve.

7.2 Election of Officers. The initial officers shall be elected by the Board appointed by Developer and shall serve until the first annual meeting. Officers shall thereafter be elected by the Board at each annual meeting.

7.3 Resignation and Removal. Any officer may be removed from office by a majority of the Board at any time with or without cause. Officers may resign at any time upon written notice to each member of the Board.

7.4 Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to fill a vacancy shall serve for the remainder of the term of the officer he replaces.

7.5 Duties. The duties of the officers are as follows:

7.5.1 President. The president shall preside at all meetings of the Board and the Association (members); shall see that orders and resolutions of the Board are carried out; shall sign all leases, deeds, mortgages and other written instruments and shall co-sign all checks and promissory notes.

7.5.2 Vice President. The vice president shall act in the place and stead of the president in the event of his absence, inability or refusal to act and shall exercise and discharge such other duties as may be required of him by the board.

7.5.3 Secretary/Treasurer. The secretary/treasurer shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the members; serve notice of meetings of the Board and of the members; keep appropriate current records showing the members of the Association, together with their addresses; receive and deposit funds in

appropriate bank accounts all monies of the Association and shall disburse such funds as directed by resolution of the Board; shall co-sign all checks and promissory notes of the Association; keep proper books of accounts and prepare or have prepared financial statements as required in these Amended By-Laws; and shall perform such other duties as provided by the Board. The duty of the secretary/treasurer to receive and deposit funds and to sign checks in the ordinary course of the Association's business may be delegated to a management company as provided in these Amended By-Laws.

7.6 Compensation of Officers. No officer shall receive any compensation from the Association or lot owners for acting as such.

ARTICLE VIII

MAINTENANCE AND ASSESSMENTS

Pursuant to the procedures and guidelines set forth in the Amended Covenants, the Board shall collect and deposit in the account of the Association, the purchase assessments as set forth in the Amended Covenants. The monies collected from said purchase assessments shall be invested by the Board in an interest bearing account and shall be utilized to pay the expenses associated with the maintenance and insurance of the Common Areas, primarily being the pool facilities and green belt areas. The Board shall also levy, collect and enforce annual and special assessments, as set forth in the Amended Covenants, from Class A members for the operation of the Association and for management, insurance, maintenance and operation of the Common Areas. All assessments shall be used exclusively to promote the health, safety and welfare of all residents in Homestead and to maintain the Common Areas.

ARTICLE IX

DISCIPLINE OF MEMBERS; SUSPENSION OF RIGHTS

The Association shall have no power to cause a forfeiture or abridgment of an owner's right to the full use and enjoyment of his individually owned lot on account of a failure by the owner to comply with provisions of the Amended Covenants, these Amended By-Laws or of duly enacted rules of operation for the Common Areas and Property, except where the loss or forfeiture is the result of the judgment of a court or a decision arising out of arbitration or on account of a foreclosure or sale under a power of sale for failure of the owner to pay assessments levied by the Association. Notwithstanding the foregoing, the Board shall have the power to impose reasonable monetary penalties, temporary suspensions of an owner's rights as a member of the Association or other appropriate discipline for failure to comply with the Amended Covenants, these Amended By-Laws or duly enacted rules; provided that an owner subject to such possible penalties shall be given reasonable notice and the opportunity to be heard by the Board with respect to the alleged violations before a decision to impose discipline is reached. In the case in which monetary penalties are to be imposed, such penalties shall be according to a schedule of penalties related to specific offenses, which schedule shall be proposed by the Board and approved by the vote or written assent of a majority of the voting power of each class of membership. Such penalties shall bear a reasonable relationship to the conduct for which the penalty is imposed and may only be imposed prospectively.

ARTICLE X

BUDGETS, FINANCIAL STATEMENTS, BOOKS AND RECORDS

10.1 Budgets and Financial Statements. Financial statements for the Association shall be regularly prepared and distributed at the annual meeting to those members requesting a copy of same. The Board shall prepare reasonable operating statements and budgets for each fiscal year.

10.2 Inspection of Association's Books and Records. The membership register, books of account and minutes of meetings of the members, of the Board and of committees of the Board or Association shall be made available for inspection and copying by any member or by his duly authorized representative at any reasonable time and for a purpose reasonably related to his interest as a member at the office of the Association or at such other place as the Board shall prescribe, upon reasonable notice and at a reasonable time. Any member desiring copies of any document shall pay the reasonable cost of reproduction. Every manager shall have the absolute right at any reasonable time to inspect all books, records and documents of the Association and the physical properties owned or controlled by the Association. The right of inspection by a manager includes the right to make extracts and copies of documents.

ARTICLE XI

AMENDMENT OF BY-LAWS

These Amended By-Laws and the Amended Covenants may be amended by a vote or written assent of owners of at least sixty percent (60%) of the aggregate interest in the Property, provided, however, that each of the particular requirements set forth in 60 Okla. Stat. §§ 851 through 855, inclusive, as it now reads or may be hereafter amended shall always be embodied in the By-Laws. Such modification or amendment shall not become operative unless set forth in Amended Covenants, Conditions and Restrictions and duly recorded in the office of the County Clerk of Oklahoma County, Oklahoma. Provided, however, provisions within the Amended Covenants and these Amended By-Laws applicable to annual or special assessments against Class B member(s) and non-resident Builders can only be amended or modified by the unanimous consent and written authorization of the Class B members.

ARTICLE XII

MISCELLANEOUS PROVISIONS

12.1 Owner's Personal Obligation for Payment of Assessment. The amount of total assessments against a lot, including the purchase assessment and any regular and/or special assessment, shall be the personal and individual debt of the owner(s) thereof. The Board shall have the responsibility to take prompt action to collect any unpaid assessment in accordance with the terms of the Amended Covenants and these Amended By-Laws.

12.2 Indemnity of Officers and Managers. Each manager and officer shall be indemnified by the Association against all expenses and liabilities, including attorneys' fees, reasonably incurred by or imposed upon him by judgment or settlement in connection with any proceeding to which he may be a party or in which he may become involved by reason of his being or having been a manager or an officer of the Association, except in cases of fraud, gross negligence or bad faith of the manager or officer in the performance of his duties.

12.3 Building Committee. The Board shall appoint a building committee. The building committee shall consist of two (2) members. The initial building committee shall consist of Phil Roberts and Russell Roberts, or their designated representatives appointed by Developer to serve in such capacity, who shall serve in such a capacity until January 1, 2010. In the event of earlier resignation or death of a member of the initial building committee, the remaining member may act exclusively or appoint a successor. The building committee shall perform the duties set forth in the Amended Covenants.

12.4 Notices. Any notice permitted or required to be given by the Project documents may be delivered either personally or by mail or as otherwise specifically provided in the Project documents. If delivery is by mail, it shall be deemed to have been give seventy-two (72) hours after a copy of the same has been deposited in the United States Mail, postage prepaid, return receipt requested, addressed to each person at the current address given by such person to the secretary of the Association or addressed to the lot of such person if no address has been given to the secretary; provided, however, that notice of regular or special meetings of members and the Board may be mailed without a return receipt requested. Provided further that notice to members of the building committee or to the Developer must be given in writing, addressed to such individuals c/o Danforth Developers, L.L.C., P.O Box 424, Spencer, Oklahoma 73084.

ESTABLISHMENT OF AMENDED BY-LAWS

We, the undersigned, being the Developer and all of the managers appointed by Developer, pursuant to the Amended Covenants, Conditions and Restrictions of Homestead and these By-Laws, do hereby certify the foregoing to be the Amended By-Laws of Homestead Property Owners Association, Inc. and, by our signatures hereto, do hereby adopt the foregoing Amended By-Laws as of the 31st day of January, 1996.

HOMESTEAD PROPERTY OWNERS ASSOCIATION, INC.

ATTEST:

Secretary [SEAL]

By: David P. Roberts, President

STATE OF OKLAHOMA)
) ss.
COUNTY OF OKLAHOMA)

Before me, the undersigned, a Notary Public, in and for said County and State on this 31st day of January, 1996, personally appeared David P. Roberts of Homestead Property Owners Association, Inc., to me known to be the identical person who subscribed the name of the maker thereof to the foregoing instrument as its President and acknowledged to me that he executed the same as his free and voluntary act and deed and as the free and voluntary act and deed of Homestead Property Owners Association, Inc., for the uses and purposes therein set forth.

Given under my hand and seal of office the day and year last above written.

Karen J. Trowbridge
Notary Public

My Commission Expires:

LVB/kt/9186.doc

NOTARIAL SEAL PUBLIC
KAREN TROWBRIDGE
Oklahoma County
Notary Public in and for
State of Oklahoma
My commission expires Mar. 6, 1998.

Return to: Danforth Development LLC
P. O. Box 424
Spencer, OK 73084

BOOK 7109 PAGE 0063

2

DECLARATION OF COVENANTS, CONDITIONS AND RESTRICTIONS OF HOMESTEAD II
A RESIDENTIAL SUBDIVISION TO THE
CITY OF EDMOND, OKLAHOMA

WHEREAS, Danforth Developers, L.L.C., a limited liability company, filed an Amended Declaration of Covenants, Conditions and Restrictions of Homestead in Book 6847, Page 1215, of the records of the County Clerk of Oklahoma County, Oklahoma (hereinafter referred to as the "Declaration");

WHEREAS, Danforth Developers, L.L.C. is the Declarant as that term is defined and used in the Declaration and is the Developer of Homestead II, a complementary development adjacent to the Homestead subdivision;

WHEREAS, pursuant to Article 2 of the Declaration, Declarant is given the unilateral right, privilege and option to annex additional lands located within the Southeast Quarter of Section 21, Township 14 North, Range 3 West of the Indian Meridian, Oklahoma County, Oklahoma, to the provisions of the Declaration and the jurisdiction of the Homestead Property Owners Association, Inc. ("Association"), including the Association's Articles of Incorporation, By-Laws and Rules and Regulations, as same are from time to time established and/or amended;

WHEREAS, Declarant desires to subject to the Declaration and the jurisdiction of the Association the lands and property located within said Section 21, as more particularly identified and described on the plat appended hereto and marked as Exhibit "A" (the "Additional Property"), which property is part of the real property described in Article 2 of the Declaration; and

WHEREAS, Article 2 of the Declaration provides that Declarant can file additional and supplemental declarations with respect to the Additional Property, which declarations will be complementary in concept to the Declaration and/or shall incorporate the Declaration and which future declarations will provide for the addition of the owners in such other areas as members of the Association and provide for additional common areas to be owned by the Association.

NOW, THEREFORE, in accordance with Article 2 of the Declaration, the Declarant does declare these covenants for Homestead II, by incorporating, amending and supplementing the Declaration filed at Book 6847, Page 1215 of the records of the County Clerk of Oklahoma County, Oklahoma, as follows:

1. **Adoption of Declaration as to Homestead II.** The Declarant states and hereby declares that the Additional Property is and shall be held, sold, conveyed and occupied subject to the conditions, covenants, use restrictions, architectural control,

DOC NUMBER 97087464
BOOK 7109
PAGES 63 - 65
TIME 11:25:07
FEE 12.00
07/08/1997
Carolynn Caudill
Oklahoma County Clerk
RECORDED AND FILED

3/12

dedications, easements, charges and liens set forth in the Declaration, which Declaration is incorporated herein by reference for all purposes, all of which is for the purpose of enhancing and protecting the value, desirability and attractiveness of the Additional Property. The Declaration shall run with the property and shall be binding upon, and inure to the benefit of, Declarant and its successors in title, and any and all parties having or acquiring any right, title or any part thereof, and shall inure to the benefit of each owner thereof.

2. **Lots.** Lot designation and the statement of its location and immediate area to which it has access and any other data necessary for its proper identification are graphically shown on the plat of Homestead II appended hereto and marked Exhibit "A".

3. **Common Areas.** Blocks D and E, as described on Exhibit "A" appended hereto, shall constitute Common Areas. Declarant, in consideration of the benefits to be derived from this development, the receipt and sufficiency of which is acknowledged, hereby grants, bargains, sells and conveys to Homestead Property Owners Association, Inc., its successors and assigns, all of its rights, title and interest in and to the Common Areas within Homestead II, being more specifically described as Blocks D and E, and the Association Fence (as described and defined in the Declaration), and an easement for construction and maintenance of the Association Fence, all as described on the Plat of Homestead II, a residential subdivision to the City of Edmond, Oklahoma County, Oklahoma.

4. **Association Membership and Assessments.** Each owner of a single-family residential lot, with the exception of Declarant, shall be a Class A member of the Association, subject to the rights and obligations afforded Class A members in the Declaration. The Association shall be governed by the terms and conditions of the Declaration and the By-Laws of Homestead Property Owners Association, Inc., as same may be amended from time to time. Declarant shall be the Class B member, subject to the rights and obligations afforded Class B members in the Declaration. Class A members of the Association, by virtue of their ownership of residential lots in the Additional Property, shall pay assessments in accordance with Article 5 of the Declaration.

IN WITNESS WHEREOF, the undersigned have executed this document this 26th day of June, 1997.

DANFORTH DEVELOPERS, L.L.C.

David P. Roberts, Manager

STATE OF OKLAHOMA)
) ss.
COUNTY OF OKLAHOMA)

Before me, the undersigned, a Notary Public, in and for said County and State on this 26th day of June 1997, personally appeared David P. Roberts, Manager of Danforth Development, L.L.C., to me known to be the identical person who subscribed the name of the maker thereof to the foregoing instrument as its Manager and acknowledged to me that he executed the same as his free and voluntary act and deed and as the free and voluntary act and deed of Danforth Development, L.L.C., for the uses and purposes therein set forth.

Given under my hand and seal of office the day and year last above written.

My Commission Expires:
August 1, 1999.

Notary Public

LVB/kf/10320.doc

**NOTICE OF PLAT FILING FOR HOMESTEAD II
AND OF APPLICATION OF DECLARATION OF AMENDED COVENANTS,
CONDITIONS AND RESTRICTIONS OF HOMESTEAD
TO ALL PROPERTY WITHIN THE PLATTED BOUNDARIES OF HOMESTEAD II**

WHEREAS, there was incorporated on the 22nd day of December, 1995 a non-profit corporation known as Homestead Owners Association, Inc.; and

WHEREAS, by Declaration of Amended Covenants, Conditions and Restrictions of Homestead, as recorded on January 31, 1996 in Book 6847, Page 1215 of the records of the County Clerk of Oklahoma County, Oklahoma, Danforth Development, L.L.C., as owner of certain property within the Southeast Quarter (SE/4) of Section 21, Township 14 North, Range 3 West, I.M., Oklahoma County, Oklahoma, declared all such property which was then platted, or would in the future be platted, into blocks, lots, streets and easements as a residential subdivision under the name of Homestead, as property subject to said Declaration (hereinafter the "Homestead Declaration"); and

WHEREAS, on July 7, 1997, Declarant filed its plat of Homestead II in Book 57, Page 17 of the Plat Records of the County Clerk of Oklahoma County, Oklahoma, subjecting all of the property encompassed within the Plat of Homestead II to the covenants, terms, restrictions and conditions of the Homestead Declaration; and

WHEREAS, by Deeds recorded in Book 7109, Page 66 and Book 7490, Page 1761, Declarant transferred and conveyed to Homestead Owners Association, Inc. all common areas described in the Plat of Homestead II.

NOW, THEREFORE, KNOW ALL MEN BY THESE PRESENTS: That Declarant confirms that all owners, future owners and the heirs, successors and assigns of such owners of real property located within the platted area of Homestead II are Class A members of Homestead Owners Association, Inc., with the rights, privileges and obligations pertaining thereto, all as more fully described in the Homestead Declaration. Declarant further confirms that all property located within Homestead II was and is subject to the Homestead Declaration as of the date of filing of the Plat of Homestead II and that Declarant has not modified or otherwise amended the Homestead Declaration to exclude any tract within Homestead II from the purview of the Homestead Declaration. Declarant further confirms that all property owned by the Declarant and described as common areas within the recorded Plat of Homestead II has been conveyed to Homestead Owners Association, Inc. and Declarant has no ownership or further obligation in respect to said tracts except as a member of Homestead Owners Association, Inc.

DOC NUMBER 1999095582
BK 7619 PG 1806-1806
DATE 06/22/99 14:01:05
FILING FEE $8.00
DOC TAX $0.00
CAROLYNN CAUDILL
Oklahoma County Clerk
RECORDED AND FILED

Dated this 11th day of June, 1999.

DANFORTH DEVELOPMENT, L.L.C.

Russell L. Roberts
Manager

WHEN RECORDED MAIL TO
NAME Elias, Books, Brown
ADDRESS 211 N. Robinson Ave Ste 1300
CITY & STATE OKC, Ok. 73102

STATE OF OKLAHOMA)
) ss.
COUNTY OF OKLAHOMA)

Before me, the undersigned, a Notary Public, in and for said County and State on this 11th day of June, 1999, personally appeared Russell L. Roberts, Manager of Danforth Development, L.L.C., to me known to be the identical person who executed the within and foregoing instrument and acknowledged to me that he executed the same as his free and voluntary act and deed for the uses and purposes therein set forth.

Given under my hand and seal of office the day and year last above written.

NOTARY PUBLIC

C:\LVB\Roberts\Homestead II Notice